

By **Manish Sabharwal**

OUR NEW TRYST WITH DESTINY

India must complement its great democratic processes and political independence with economic freedom. Ending employed poverty needs innovating at the intersection of jobs and skills education

India's twin challenges of politics and economics involved two risky experiments in 1947. The political one—votes for everyone—has worked out spectacularly, with India creating the world's largest democracy on the infertile soil of the world's most hierarchical society. But the economic one—embodied in the Avadi resolution of 1955 where the Congress session adopted a socialist economic path—failed spectacularly because it sabotaged mass prosperity by confiscating the entrepreneurial freedom to create jobs. Consequently, our labour is handicapped without capital and our capital is handicapped without labour. Our unfinished journey from national independence to mass prosperity requires policy innovation at the intersection of jobs and skills. The recent budget has made a great start, but reforms must accelerate.

The Hitopadesha suggestion *vidya dadati vinayam* (knowledge brings humility) was ignored by knowledgeable romantics, elitists, welfarists, bureaucrats, educationists and trade unionists. Romantics unfairly view private employers as perpetual entities like the government. Elitists think private sector salaries are paid by shareholders rather than customers. Welfarists believe private employment can be substituted by government spending financed by debt. Bureaucrats think statutory employer benefits are financed outside salaries rather than from them. Educationists looked down at skills. And trade unionists believe job preservation is a form of job creation. All six worldviews suffer from inattention to detail; a bird's rather than a worm's eye view of the daily life of investors, employers, employees and job-seekers.

The following reforms need to be carried out to remedy the situation.

Jan Vishwas 2.0: The Jan Vishwas Bill removed excessive jail provisions vis-a-vis employer compliances last year by recognising that criminalisation of civil offences hurts small employers, enables corruption and rewards informality. It was a small start—only 113 jail provisions for employers from over 25,000 were removed—and we must now undertake Jan Vishwas 2.0 to eliminate hundreds of needless jail provisions.

Fixing government schools: Smaller class sizes, regular/adequate teacher salaries and better teacher qualifications have not delivered learning outcomes because they were necessary, but not sufficient. We must urgently fix governance (allocation of decision rights) and performance management (a fear of falling and hope of rising) because government schools are the first rung in the ladder of opportunity.

Reimagining skill development: The challenge of scaling

THE GIANT STEPS

- Government schools must be fixed urgently and implementation of the National Education Policy 2020 accelerated
- The challenge of scaling skill development programmes has shifted from curriculum and delivery to financing
- The five design principles that attract new financing are—learning by doing, learning while earning, learning with qualification modularity, learning with flexible delivery, learning with signalling value
- To accelerate job creation, there must be a Jan Vishwas Bill 2.0 to eliminate hundreds of needless jail provisions for employers